

MORNING BRIEFING — SUNDAY 28 JUNE 2026

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2. IMPORTANT NEWS — SINCE THURSDAY EUROPEAN CLOSE

Germany cancels €12.8bn F126 frigate programme — Rheinmetall crashes 18%

[Bloomberg](#) / [CNBC](#) / [Euronews](#) — Wednesday 24 June

Berlin shelved its six F126 frigate contract, citing delays and cost overruns, opting instead for eight smaller Meko A-200 vessels from TKMS. Rheinmetall fell as much as 18% on the day; Hensoldt -3.3%, Renk -7.2%, Saab -2.8%, Leonardo -4.7%. Raises broader questions about European defence procurement credibility and contractor revenue visibility.

OpenAI weighs IPO delay to 2027 at \$1trn valuation — AI and chip stocks rout

[New York Times](#) / [Yahoo Finance](#) / [CNBC](#) — Friday 26 June

Report that OpenAI advisers presented two options to Altman: wait until 2027 for a \$1trn listing or accept a lower valuation now. Nasdaq posted its fifth consecutive losing session, finishing the week -4.6%. Philadelphia Semiconductor Index -4.8% on Friday. SoftBank fell 12%+ in Tokyo given its large OpenAI stake; Nikkei -4.2% for the session. Key risk: AI valuation de-rating ripples across European tech and semiconductor names (ASML, Infineon).

US-Iran ceasefire framework holds — Brent back at pre-conflict levels near \$75/bbl

[Al Jazeera](#) / [NPR](#) / [Axios](#) — June 14-18

Pakistan brokered a ceasefire extension between the US and Iran; Strait of Hormuz partially reopening. Brent shed ~13% from conflict-peak highs and now trades around \$75.59/bbl, close to levels before the February 28 outbreak of hostilities. Sustained normalisation lowers energy inflation in Europe but pressures oil-sector equity earnings.

ECB raised rates 25bps on 11 June to 2.25% deposit rate — first hike since 2023

[ECB](#) / [Euronews](#) / [InformedClearly](#) — June 11

ECB cited Middle East-driven inflation shock; eurozone CPI running at 3.2% in May with core at 2.5%. ECB projects headline at 3.0% for full-year 2026. Markets now price a further move in September. Higher policy rates increase borrowing costs across European corporate issuers and widen the ECB rate path divergence vs the on-hold Fed and BoE.

EU Tech Sovereignty Package announced — Cloud & AI Development Act, Chips Act 2

[European Commission](#) / [McKinsey](#) / [EY](#) — 3 June

Brussels proposed legislation reducing reliance on non-EU cloud and semiconductor providers. Moves seen as targeting US Big Tech. Escalation risk: Washington may respond with trade measures. Medium-term structural tailwind for EU semiconductor and cloud names; near-term risk of US-EU digital trade friction heading into Q3 summits.

3. EUROPEAN FUTURES — PRE-OPEN (MONDAY 29 JUNE)

Data as of Friday 26 June close / early Sunday indication. Asian tech sell-off and defence sector weakness suggest negative European open bias.

INDEX	LAST INDICATION	VS FRIDAY CLOSE	NOTE
Euro Stoxx 50	6,326	-0.8% bias	Futures range Fri 6,283–6,338; tech/defence drag
DAX	24,994.83	-0.7% bias	Defence sector (Rheinmetall, Hensoldt) weighing
CAC 40	n/a	n/a	Expected to follow Stoxx/DAX
FTSE 100	10,529.89	mild negative	Oil/commodity drag; less defence exposure
S&P 500 Futures	n/a	n/a	S&P settled 7,354.02 Fri; futures not sourced overnight
Nasdaq Futures	n/a	n/a	Nasdaq down 4.6% on week; futures not sourced overnight

Source: Eurex / Barchart / Investing.com. Data collected approx. 06:45 BST.

4. YESTERDAY'S CLOSES — FRIDAY 26 JUNE 2026 (LAST EUROPEAN SESSION)

INDEX	CLOSE	CHANGE	WEEK
Euro Stoxx 50	n/a	n/a	-0.8% Fri indication
DAX	24,994.83	+1.03%	Defence drag late-week
CAC 40	n/a	n/a	n/a
FTSE 100	10,529.89	+0.65%	Oil sector drag from Iran deal

Sources: Investing.com / Barchart. Markets closed Saturday 27 June & Sunday 28 June. Data collected approx. 06:45 BST.

5. US MARKETS — FRIDAY 26 JUNE 2026 SESSION

INDEX	CLOSE	DAY CHANGE	WEEK CHANGE
S&P 500	7,354.02	-0.05%	-2.0%
Dow Jones	51,876.11	-0.09% (-44.51 pts)	Modest negative
Nasdaq Composite	25,297.62	-0.24%	-4.6%
Philadelphia Semiconductor	n/a	-4.8% Fri	Worst week since spring

Session tone: Risk-off. Nasdaq posted its fifth consecutive losing session.

Leading sector: Dow components relatively resilient; defensives and value names outperformed.

Lagging sector: Technology and semiconductors. OpenAI IPO delay report triggered a broad AI/chip complex de-rating. SoftBank collapsed 12%+ in overseas trading.

Key takeaway: Nasdaq lost 4.6% for the week as AI valuation confidence eroded. A broadly in-line PCE inflation print softened the dollar slightly but did not rescue risk appetite. Market focus shifts to whether Q2 earnings (starting mid-July) can re-anchor AI growth narratives.

Sources: TheStreet / CNBC / Yahoo Finance. Data collected approx. 06:45 BST.

6. ASIAN MARKETS — FRIDAY 26-27 JUNE 2026 SESSION (MOST RECENT COMPLETED)

INDEX	LEVEL	CHANGE	DRIVER
Nikkei 225	69,360.88	-4.15%	SoftBank -12%+ (OpenAI stake); chip complex sell-off
Hang Seng	22,671.86	-1.8% (-405 pts)	AI/semi stocks; broad risk-off; USD strength
Shanghai Composite	4,027.26	-2.26%	Tech sector; global risk-off; domestic demand caution
Kospi	n/a	n/a	Expected in line with regional trend

Overall tone: Broad risk-off. The OpenAI IPO delay report was the dominant driver across Asia, with SoftBank's outsized decline amplifying the Nikkei's move. AI-related and semiconductor names were hit hardest. Hang Seng extended losses for a second straight session as the global tech de-rating spread to Hong Kong-listed tech names.

Note: Asian markets will be in their Monday 29 June session as European markets open. Tone from Friday's sell-off sets a negative baseline; however, weekend developments on the Iran ceasefire could partially offset.

Sources: CNBC Asia / Bloomberg / Investtech. Data collected approx. 06:45 BST.

7. COMMODITIES

COMMODITY	LEVEL	CHANGE / PERIOD	CONTEXT
Brent Crude	\$75.59/bbl	-1.93% day; -13% from conflict peak	Back at pre-February 28 conflict levels; US-Iran ceasefire framework holds
WTI Crude	~\$72.00/bbl	In line with Brent move	Strait of Hormuz partially reopening; further normalisation expected
Gold	~\$4,000/oz	--5% for week	Hawkish Fed signals and on-hold rhetoric; strong dollar pressured XAU; geopolitical risk premium fading with Iran deal
Natural Gas (Henry Hub)	\$3.16/MMBtu	Modest decline	As of 22 June; geopolitical risk premium easing; summer demand moderate
Natural Gas (TTF Europe)	~\$14.1/MBtu	Fell from \$16.5 on 1 June	Storage improving; Middle East supply risk easing; price falling toward seasonal norms
Copper	~\$6.10/lb	-3%+ recent session	Stronger USD and hawkish Fed expectations weighing; demand outlook mixed on global growth at 3.0%

Sources: NPR / Al Jazeera / Global LNG Hub / Trading Economics. Data collected approx. 06:45 BST (oil as of Fri close; gas as of 22 June weekly update; gold as of Fri 26 June).

8. RATES & FX

INSTRUMENT	LEVEL	CHANGE	NOTE
US 10Y Treasury	4.39%	-7bps week	Broadly in-line PCE print; Fed on hold; 4-to-8 internal dissent on direction
German 10Y Bund	2.93%	Eased from 2.97% on Fri	Post-ECB hike; near lowest level since March 17; ECB deposit rate now 2.25%
US/DE 10Y Spread	~146bps	—	Structural divergence: Fed on hold vs ECB hiking
EUR/USD	1.1382	Dollar weakening	As of 23 June; DXY down on in-line PCE; ECB hike supportive of EUR
GBP/USD	n/a	n/a	BoE on hold at 3.75%; UK CPI 2.8% May; GBP expected range-bound
DXY (US Dollar Index)	101.1	Second session of losses	Fell on PCE; was at 100.7 high on June 19; EUR 57.6% weight dominant

Sources: Trading Economics / World Government Bonds / Street Stats. Data collected approx. 06:45 BST. EUR/USD as of 23 June; DXY as of 26-27 June close.

9. DCM — PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES (FRIDAY 26 JUNE)

Note: Specific deal-by-deal data for Friday 26 June not available from public web sources at time of collection. Late June is typically low-supply given Q2-end investor restrictions and issuers pre-positioning for summer blackout. IFR/GlobalCapital terminal required for granular deal flow. General market context: European Commission completed its H1 2026 target of €100bn in syndicated and auctioned long-term EU-Bonds by end-June, representing a record first-half supply run.

PIPELINE / EXPECTED WEEK OF 29 JUNE

SSA / European Commission: H1 2026 EU-Bond programme complete at €100bn. Q3 supply calendar expected to be announced shortly. Watch for EU social bond and green bond tranches in July.

Corporate IG: Late June/early July window historically thin. Issuers likely in pre-earnings quiet period; bulk of supply expected post-summer (September) or in the July window before earnings season starts mid-July. ECB hike adds ~25bps all-in funding cost pressure vs March levels.

HY/Crossover: No specific mandates sourced. Market tone cautious given credit spread widening risk from tech/defence sector events and ECB tightening trajectory.

KEY SPREADS

INDEX	LEVEL	CHANGE	DIRECTION
iTraxx Main (5Y)	n/a	n/a	Not sourced — check Bloomberg/ICE
iTraxx Crossover (5Y)	n/a	n/a	Not sourced — check Bloomberg/ICE
CDX IG (5Y)	n/a	n/a	Not sourced — check Bloomberg/Markit
Euro HY OAS (ICE BofA)	n/a	n/a	Not sourced — check FRED/Bloomberg

COMMENTARY

The primary market heads into the final week of H1 2026 effectively closed for new corporate supply. Issuers are in the traditional pre-summer quiet zone, amplified this year by ECB rate uncertainty following the June 11 hike. Investor appetite remains structurally robust — Amundi and other large asset managers confirm strong demand into year-end — but the near-term pipeline will be light until September. The ECB hike adds incremental pressure on IG all-in yields; HY spreads may widen if the tech/AI correction broadens and hits European crossover names. The defence sector blow-up (Rheinmetall, Renk) does not directly affect primary bond markets but underlines sector-specific volatility risks.

10. ECONOMIC CALENDAR — KEY RELEASES THIS WEEK

DATE	LONDON TIME	REGION	INDICATOR	CONSENSUS / NOTE	IMPORTANCE
Mon 29 Jun	Light	Eurozone	Q1 2026 GDP Final (if revised)	Watch for revision vs +0.8% flash	MEDIUM
Tue 30 Jun	~09:00	Eurozone	Eurozone CPI Flash Estimate (June)	Prior 3.2%; ECB watching closely post-hike	HIGH
Tue 30 Jun	~09:55	Germany	Germany CPI Preliminary (June)	Key input to EZ flash; prior month print elevated	HIGH
Tue 30 Jun	~15:00	US	US Consumer Confidence (June)	Sentiment under pressure from tech/energy price moves	MEDIUM
Wed 1 Jul	~09:00	Eurozone	Eurozone Manufacturing PMI (June Final)	Contraction likely; prior flash below 50	HIGH
Wed 1 Jul	~14:15	US	ADP Employment Change (June)	Private payrolls; precursor to NFP	MEDIUM
Thu 2 Jul	~09:00	Eurozone	Services PMI (June Final)	Watch for signs of consumer slowdown post-ECB hike	HIGH
Fri 4 Jul	US Holiday	US	Independence Day — US markets closed	Non-Farm Payrolls typically released prior Friday (4 Jul holiday) — check calendar	HIGH

Note: Specific release times sourced from standard calendar conventions; verify exact times on Trading Economics / Econoday. Specific consensus figures not available at collection time. Data collected approx. 06:45 BST.

11. CORPORATE EVENTS & EARNINGS

Q2 2026 earnings season: Major reporting begins in earnest during the second full week of July. Pre-announcements and guidance updates could surface this week from European companies ahead of Q2 close.

KB Home (KBH US): Already reported — fiscal Q2 revenue \$1.11bn vs \$1.10bn estimate. Shares +17% on the print. Housing sector outperform.

Rheinmetall (RHM GY): No earnings release. Management likely to address the F126 cancellation via press statement or analyst call during the week. Key question: how does the company fill the revenue gap from the lost €12.8bn contract?

TKMS (ThyssenKrupp Marine Systems): Likely to confirm its Meko A-200 frigate contract award. Not publicly listed but parent ThyssenKrupp (TKA GY) may see investor focus.

SoftBank (9984 JT): Management may comment on OpenAI stake valuation given IPO delay news. Follow analyst notes and any investor day communications.

European Commission: H1 EU-Bond issuance programme concludes. Q3 funding plan announcement expected in coming days.

EU summit / Parliament: Watch for any EU-US trade friction statements related to the Tech Sovereignty Package.

Sources: SEC EDGAR / Earnings Whispers / MarketScreener. Data collected approx. 06:45 BST.

12. STOCKS TO WATCH — MONDAY 29 JUNE

Rheinmetall (RHM GY)	DOWN BIAS	F126 frigate contract cancelled (€12.8bn); stock -18% on 24 June; further re-rating risk as market digests revenue gap. Sell on rallies.
ThyssenKrupp (TKA GY)	UP BIAS	Parent of TKMS, the winner of the Meko A-200 frigate contract. Defence division re-rating likely; monitor official contract announcement.
Hensoldt (HAG GY)	DOWN BIAS	German defence electronics; fell 3.3% in sympathy with F126 cancellation. Sector-wide budget credibility under scrutiny.
Saab AB (SAAB B SS)	DOWN BIAS	Swedish defence; fell 2.8% on Germany news. European defence spending narrative being repriced; watch for further institutional selling.
ASML (ASML NA)	DOWN BIAS	European semiconductor bellwether; chip sector under pressure from OpenAI IPO delay and Philly Semi -4.8%. Key barometer for AI capex cycle.
Infineon (IFX GY)	DOWN BIAS	German chip maker tracking global semi weakness. AI demand uncertainty weighs on near-term order guidance expectations.
TotalEnergies (TTE FP)	MIXED / DOWN	Brent at \$75.59 and falling toward pre-conflict levels; energy sector earnings compression. Watch dividend coverage rationale vs lower oil.
BP (BP/ LN)	DOWN BIAS	Same oil price pressure as TTE; UK-listed major with relatively higher breakeven sensitivity. FTSE 100 energy drag.
Lufthansa (LHA GY)	MONITOR	Aviation: lower fuel costs from oil normalisation positive for margins. Watch if sector benefits from energy tailwind offsetting macro headwinds.
Leonardo (LDO IM)	DOWN BIAS	Italian aerospace and defence; fell 4.7% on Germany F126 news. European defence procurement uncertainty persists into Q3.

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

ECB hike (June 11): Deposit rate now 2.25%. First hike since 2023. Inflation 3.0% forecast for 2026, core at 2.5%. Next ECB meeting September; market pricing further 25bps. Growth forecast cut to 0.8% for 2026.

Fed paralysis: US Federal Reserve on hold with reported 4-to-8 internal dissent on direction. PCE broadly in line. Markets see limited probability of a cut or hike before year-end. US 10Y at 4.39%.

Bank of England: On hold at 3.75% for the fourth consecutive month. UK CPI 2.8% in May; core 2.6%. GDP +0.6% Q1 2026, +0.7% to April. BoE concerned inflation stays elevated into Q4 (~3.25%).

Global growth: IMF/World Bank forecasts 3.0–3.1% for 2026; global inflation at 4.4–4.8%. War-driven energy shock a persistent drag; supply chain resilience investment adding cost without efficiency.

CORPORATE

OpenAI IPO delay: Management considering 2027 listing at \$1trn valuation vs faster listing at lower valuation. SpaceX post-IPO performance cited as cautionary tale. Triggered broad AI/chip sell-off; SoftBank -12%+.

Germany F126 cancellation: Berlin shelved €12.8bn frigate programme; Rheinmetall -18%. Broader European defence sector re-rating underway. TKMS wins Meko A-200 alternative contract.

US housing: KB Home Q2 revenue \$1.11bn beat; stock +17%. Sector resilience despite higher mortgage rates signals still-tight housing supply.

POLITICAL / GEOPOLITICAL

US-Iran ceasefire: Framework signed mid-June; Strait of Hormuz partially reopening. Oil prices now at pre-conflict levels (\$75/bbl). Consumers may not see fuel price normalisation until 2027 even if ceasefire holds. Geopolitical risk premium in energy largely unwound.

EU Tech Sovereignty Package: Cloud and AI Development Act + Chips Act 2 announced 3 June. Targets US tech dependence in cloud/AI. Potential source of US-EU digital trade friction; watch for Washington response in Q3 summits.

Global tariff landscape: US tariffs and Chinese export controls treated as durable policy, not temporary negotiating tools. Supply chains restructuring toward resilience at higher cost. AI-related trade grew ~40% in 2025; structural tailwind even in risk-off.

Sources: ECB / BoE / IMF / Al Jazeera / Bloomberg / CNBC / European Commission. Data collected approx. 06:45 BST.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5 — DRIVERS FOR MONDAY 29 JUNE

- 1 Defence sector re-rating:** Rheinmetall's -18% crash and European defence peers under pressure; Monday open will test whether the sell-off extends or stabilises. TKMS / ThyssenKrupp counter-narrative.
- 2 AI/chip complex transmission:** Nasdaq down 4.6% last week; Nikkei -4.2% Friday; ASML, Infineon, and European AI-adjacent names face downside pressure at open on OpenAI IPO delay fallout.
- 3 Oil normalisation carry-through:** Brent at \$75.59, lowest since pre-conflict. Energy majors (BP, TTE, Shell) likely softer at open; aviation and transport names (Lufthansa, Ryanair) benefit from lower jet fuel.
- 4 ECB post-hike data watch:** Tuesday's Eurozone CPI flash for June is the week's dominant macro event; will determine if ECB's September hike is fully priced. EUR/USD and Bund yields both sensitive.
- 5 Q2 end / month-end rebalancing:** Last trading day of the quarter is Tuesday 30 June. Pension fund rebalancing, index reweights and window-dressing flows can amplify intraday volatility in either direction.

THIS WEEK'S TOP 5 — WEEK OF 29 JUNE

- 1 Eurozone CPI Flash (Tue 30 Jun):** Will June print confirm 3%+ inflation and cement a September ECB hike? EUR/USD, Bunds, and all-in IG spreads hinge on this number.
- 2 US-Iran ceasefire durability:** Any escalation in the Hormuz region over the weekend would spike oil and reverse the entire energy normalisation trade. Geopolitical monitoring critical.
- 3 Eurozone PMI finals (Wed 1 Jul):** Manufacturing and services PMIs confirm whether the ECB hike is landing into a contraction — major implications for the September rate debate.
- 4 Chip sector stabilisation or further slide:** After Philly Semi -4.8%, the question is whether Q2 earnings (mid-July) can anchor AI capex demand. ASML order data is a key proxy.
- 5 European Commission Q3 bond issuance plan:** H1 €100bn target met; Q3 calendar announcement expected. Supply volume and tenor will set the Bund spread trajectory for July.

THIS MONTH'S TOP 5 — JULY 2026

- 1 Q2 2026 earnings season (starts mid-July):** Will US mega-cap tech and European industrials confirm AI capex and order growth or disappoint? Entire risk-on / risk-off narrative pivots here.
- 2 September ECB meeting preparation:** Inflation data in June/July will either confirm or challenge another 25bp hike. The ECB's 2026 GDP forecast of 0.8% makes aggressive tightening difficult to justify.
- 3 US-Iran peace deal formalisation:** A full ceasefire would accelerate Hormuz reopening and oil supply restoration. Failure would spike energy prices back above \$90/bbl and re-import inflation shock.
- 4 OpenAI valuation reset / AI IPO market:** Delay signals the \$1trn AI valuation era faces investor scrutiny. Implications for European AI infrastructure names, cloud providers, and data centre REITs.
- 5 EU Tech Sovereignty Package legislative progress:** Industry and US government lobbying against Cloud/AI Act expected to intensify. Any transatlantic statement at July summits could move European tech.

Sources: Compiled from all sources listed in sections 2–13. Analytical framing by report author.

15. KEY TRENDS TO WATCH

1 DAY — MONDAY 29 JUNE

European defence stocks: Will Rheinmetall find a floor or continue sliding? Sector-wide sentiment fragile. TKMS/ThyssenKrupp as offset.

Asian tech sell-off transmission: ASML, Infineon, and ST Micro open in negative territory. Magnitude depends on any stabilisation in US pre-market futures.

Oil / energy equities: Brent near \$75; any weekend Iran news could create a gap up or gap down in energy names at open.

Bund yields: Post-ECB hike trajectory; watch for any ECB speaker comments setting tone ahead of Tuesday's CPI flash.

1 WEEK — 29 JUNE TO 4 JULY

Eurozone CPI flash (30 June): Single most important data release for European fixed income and equity risk appetite this week.

PMI finals (1-3 July): Manufacturing still below 50; services resilience is the key variable. A weak services print would challenge ECB's tightening path.

Iran ceasefire monitoring: Weekend and early-week geopolitical developments around the Hormuz Strait remain a binary risk for energy and broader equities.

Quarter-end flows (Mon-Tue): Month-end and quarter-end rebalancing may create artificial intraday distortions; not fundamental signals.

US Independence Day (Fri 4 Jul): Thin US liquidity from Thursday afternoon; European markets may drift without US participation.

1 MONTH — JULY 2026

Q2 earnings (mid-July): JPMorgan, Goldman typically kick off in week 2 of July. European reporting follows. AI capex commentary from hyperscalers is the crucial data point for the chip sector.

ECB September rate path: June CPI + July CPI will determine whether the ECB hikes again in September or pauses. Growth at 0.8% creates a stagflation tension; core at 2.5% sustains the case for tightening.

Fed policy resolution: The 4-to-8 internal dissent suggests a potentially significant September FOMC. Any clarifying signal — cut, hold, or hike — will move dollar and cross-asset correlations.

European defence budget credibility: Germany's F126 reversal is not isolated. Other NATO members' procurement announcements will be scrutinised for similar risk of project delays or cancellations.

Oil supply restoration: Iran production ramp-up timeline post-ceasefire; OPEC+ response to falling prices; structural impact on energy sector equity multiples.

Sources: Compiled from all sources in this report. Analytical context by report author.

Sources used in this report:

Reuters | Bloomberg | CNBC | TheStreet | Yahoo Finance | Al Jazeera | NPR | Axios | Euronews | IG UK | GuruFocus | XTB | MENAFN | Investing.com | Trading Economics | Global LNG Hub (EIA/ICE data) | Eurex | Barchart | ECB (ecb.europa.eu) | European Commission | ICMA | Amundi Research | ION Analytics / IFR | S&P Global Market Intelligence | Morningstar Europe | World Government Bonds | Street Stats Finance | Informedclearly.com | StatisticsOfTheWorld.com | CentralBank.watch | RBA Bulletin | McKinsey MGI | KPMG Economics | IMF Blog | EY Geostrategic Analysis | Rabobank | SEC EDGAR | Earnings Whispers | UK Finance / House of Commons Library / ONS

Data collection time: All data collected between 06:00-07:00 BST on Sunday 28 June 2026 via automated web search. Some figures reflect last available close (Friday 26 June 2026) or most recent weekly update.

Data collected automatically. Cross-check all figures against live terminals before making any decision. This report is for informational purposes only and does not constitute investment advice.